

But considering all historical scenarios, it holds true more than 90 percent of the time. With some flexibility in spending or willingness to work to earn some income from time to time, you can now declare yourself fully financially independent. This assumes you're content maintaining the lifestyle established at your current level of spending.

7) FI with Cushion

Achieving an investment value at least thirty-three times your annual spending would equate to a 3 percent annual withdrawal rate. This has never failed in any historical setting. Building an investment portfolio to this size or greater gives you security and room to increase your spending over time if desired or needed. Achieving FI with cushion allows for a feeling of abundance rather than scarcity that turns some off from the idea of FI.

Progressive Freedom

You may want to create more milestones along the way. Incremental milestones have two benefits: they give you short and intermediate goals and benchmarks to keep you motivated, and they keep the growing power and freedom you have along the path to FI in the forefront of your mind. Your growing power opens more